

Sequoia Capital Analysis
Published September 20, 2023

Six Decades of Technological Progress Converged to Enable

Six decades of Moore's Law

Delivered the compute horsepower to process exaflops of data.

Four decades of the internet

Accelerated by COVID, produced trillions of tokens of training data.

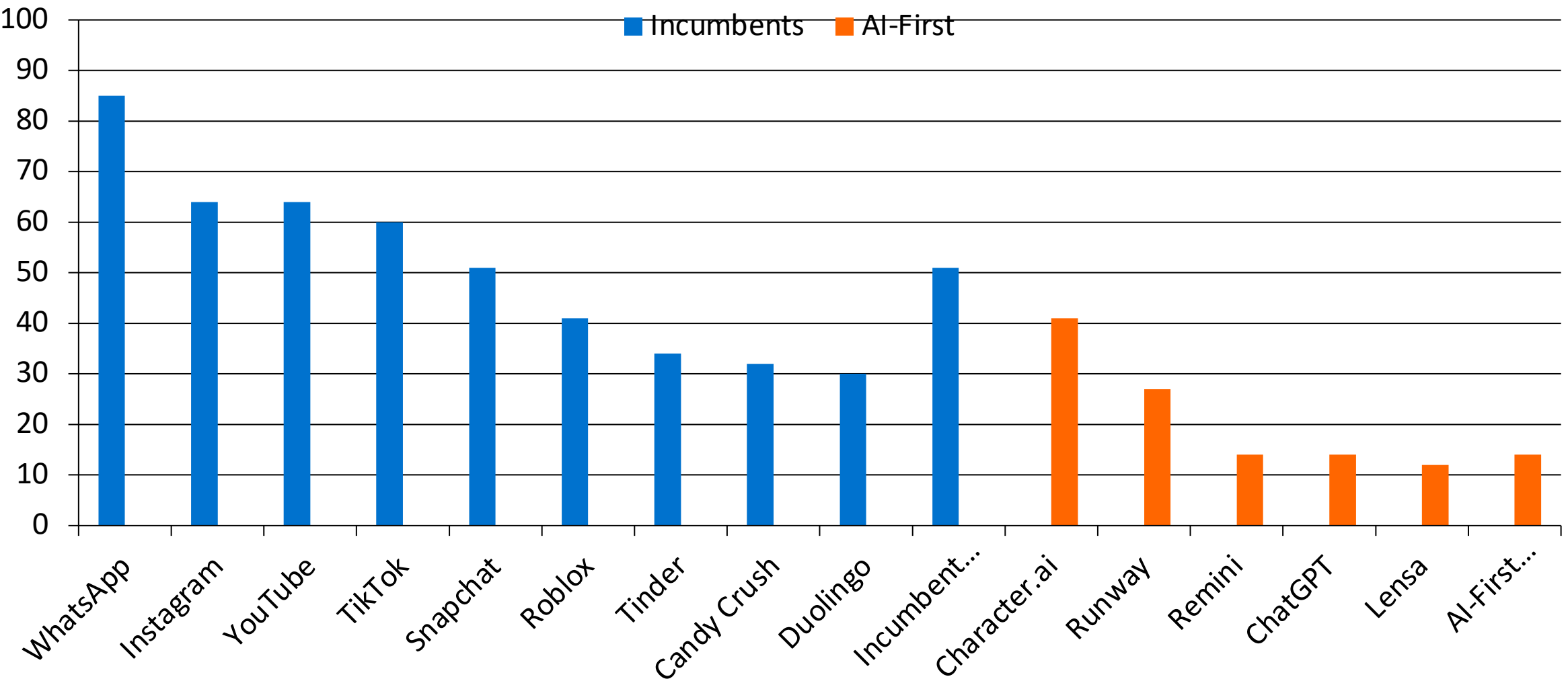
Two decades of mobile and cloud computing

Put a supercomputer in every human's palm.

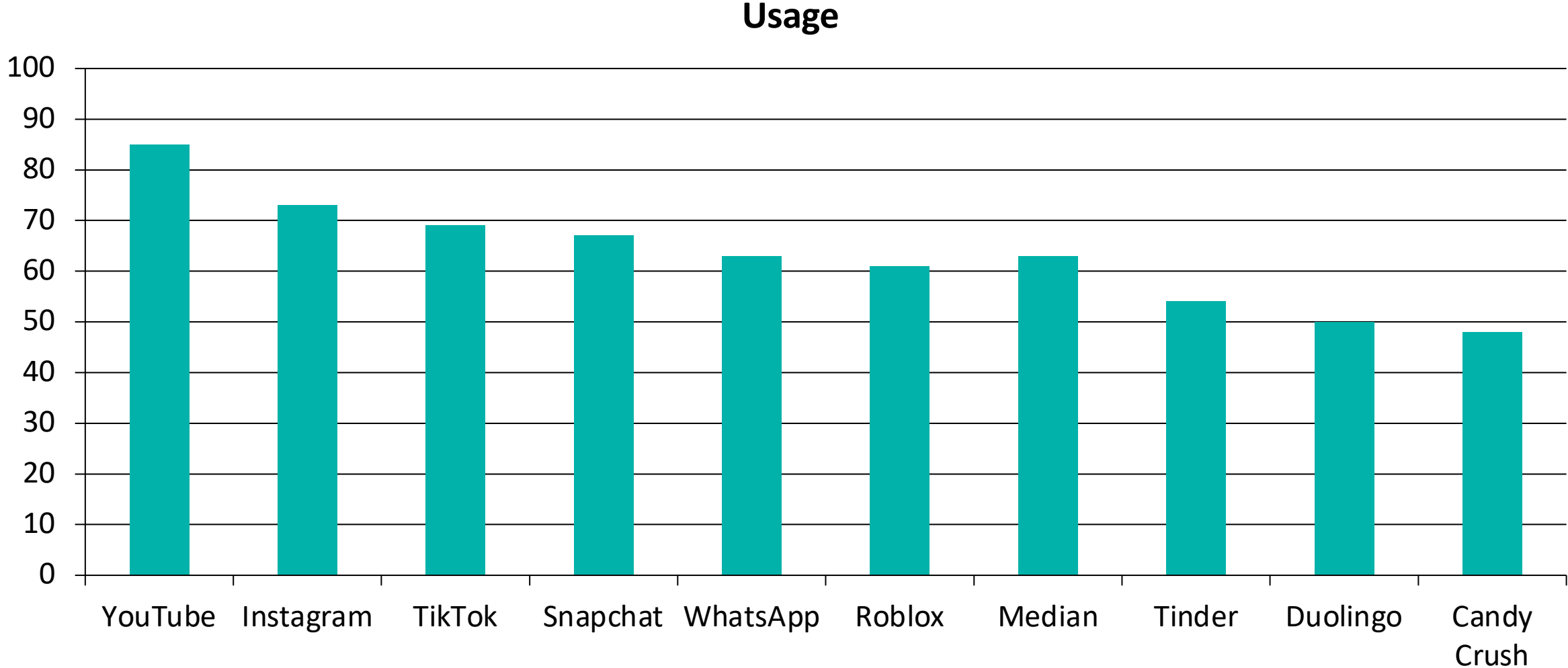
GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

- **Generative AI achieved >\$1B in startup revenue in months, a milestone that took SaaS years.**
 - ChatGPT: Fastest-growing application in history, with strong product-market fit.
 - Midjourney: Reported hundreds of millions of dollars in revenue with a team of just 11 people.
 - Character.ai: Popularized AI entertainment; users spend an average of 2 hours per session in-app.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents



YouTube Leads Incumbents at 85% Monthly Active Usage



Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1: Technology-Out

- Foundation models as the entire solution
- Novelty demos and lightweight wrappers
- Technology looking for a problem
- Poor user retention

Act 2: Customer-Back

- Foundation models as a piece of a comprehensive solution
- New editing interfaces to make workflows stickier
- Multi-modal workflows
- End-to-end problem solving

Exemplars: Harvey, Glean, Character, and Ava.

Market Map Reorganized by Use Case, Not Model Modality

- Conceptual Shift: The generative AI market is transitioning from a technology hammer to actual value delivery.
- Organization by Use Case: Moving away from model modality (text, image, code) towards end-to-end workflows.
- Increasingly Multi-Modal: Applications are blending modalities to solve complex problems.
- **Act 2 Exemplars defining the new map:**
 - • Harvey (Legal)
 - • Glean (Enterprise Search)
 - • Character and Ava (Companionship)

Key Takeaways: What Separates Winners in Act Two

- **Retention is the critical challenge:** AI-first apps suffer a 14% median retention vs. 51% for incumbents.
- **Component vs. Product:** Foundation models should be a component, not the whole product.
- **Multi-modal integration:** Workflow-integrated solutions that blend modalities will win.
- **Real Commercial Demand:** The \$1B+ revenue milestone proves demand exists despite hype cycles.
- **Solve human problems:** Companies solving end-to-end human problems will define Act 2.